



CO-OPERATIVE BANK

We are you

The Co-operative Bank of Kenya Limited
Co-operative Bank House
Haile Selassie Avenue
P.O.Box 48231 – 00100 GPO Nairobi
Tel: (020) 3276100
Fax: (020) 2227747 / 2219831
Website: www.co-opbank.co.ke

12th November 2014

The Chief Executive
Nairobi Securities Exchange
55 Westlands Road
P O Box 43633 - 00100
Nairobi



Dear Sir,

**RE: THE CO-OPERATIVE BANK OF KENYA LIMITED
GROUP FINANCIAL RESULTS FOR THE THIRD QUARTER
ENDED 30TH SEPTEMBER 2014**

Enclosed please find:-

- a. The unaudited financial statements of the Co-operative Bank Group for the 3rd Quarter ended 30th September 2014, together with the disclosures on earnings per share.
- b. The statement on cash flows, and changes in equity for the same period.

Yours faithfully,

Rosemary Githaiga (Mrs)
COMPANY SECRETARY
Encl.

Chief Executive Officer
Capital Markets Authority
Embankment Plaza
3rd Floor, Longonot Road
Upper Hill
Nairobi

-With copies of the above attached.

The Board of Directors are pleased to announce the Un-audited results of the Group and the Bank for the Period ended 30 September 2014

I	STATEMENT OF FINANCIAL POSITION				GROUP				BANK			
	30-Sep-14	30-Jun-14	31-Mar-14	31-Dec-13	30-Sep-13	30-Sep-14	30-Jun-14	31-Mar-14	31-Dec-13	30-Sep-13	30-Sep-14	30-Sep-13
	(Un-audited)	(Un-audited)	(Un-audited)	(Un-audited)	(Un-audited)	(Un-audited)	(Un-audited)	(Un-audited)	(Un-audited)	(Un-audited)	(Un-audited)	(Un-audited)
A												
ASSETS												
1	Cash (local and foreign)	7,235,276	7,096,063	7,040,644	9,196,193	6,442,378	7,056,767	6,623,163	8,908,316	6,185,395		
2	Balances due from Central Bank Of Kenya	14,481,332	13,410,681	13,086,638	11,516,976	11,693,425	12,267,104	11,601,889	10,388,172	11,693,425		
3	Kenya Government and other securities held for dealing purposes	30,009	30,009	30,009	30,009	30,009	30,009	30,009	30,009	30,009		
4	Financial Assets at fair value through profit and loss	510	511	500	557	10,567	510	511	501	510		
5.a.a	Investment Securities: Held to Maturity- Kenya Government Securities	20,080,087	20,617,445	17,266,903	13,983,393	11,422,687	19,878,686	20,407,188	13,820,482	11,263,081		
5.a.b	Investment Securities: Held to Maturity- Other Securities	-	-	-	45,000	-	-	-	-	-		
5.b.a	Investment Securities: Available for Sale- Kenya Government Securities	16,472,127	20,383,353	20,412,869	19,560,640	23,969,062	16,472,127	20,383,353	19,560,640	23,968,461		
5.b.b	Investment Securities: Available for Sale- Other Securities	5,142,764	4,588,175	5,630,544	5,746,273	5,860,960	5,142,764	4,588,175	5,746,273	5,860,960		
6	Deposits and balances due from local banking institutions	6,244,623	6,438,796	4,022,659	2,968,294	9,372,332	5,786,941	6,104,820	4,022,659	9,372,332		
7	Deposits and balances due from banking institutions abroad	5,660,868	4,776,316	4,659,220	7,072,622	4,055,583	5,668,227	4,741,507	7,053,215	4,055,583		
8	Tax recoverable	6,168	3,655	335	97,029	7,514	175,702,704	165,600,406	137,051,537	134,304,764		
9	Loans and advances to customers (net)	175,970,122	165,759,035	154,648,317	137,087,227	134,304,764	175,702,704	165,600,406	137,051,537	134,304,764		
10	Balances due from banking institutions in the group	-	1,812,241	1,838,817	1,688,888	1,521,899	755,118	755,118	755,118	755,118		
11	Investments in associates	1,709,412	-	-	-	-	1,748,494	1,748,494	1,748,494	702,509		
12	Investments in subsidiary companies	-	-	-	-	-	-	-	-	-		
13	Investment in joint ventures	-	-	-	-	-	-	-	-	-		
14	Investment in properties	-	-	-	-	-	-	-	-	-		
15	Property, plant and equipment	9,693,865	9,932,424	9,732,657	11,447,430	9,286,441	8,398,431	8,703,019	10,641,897	9,281,727		
16	Prepaid lease rentals	38,180	38,180	38,180	38,180	38,863	38,180	38,180	38,180	38,863		
17	Intangible assets	2,822,958	2,788,764	2,810,038	1,616,772	2,061,401	2,570,011	2,485,341	1,094,514	1,809,607		
18	Deferred tax asset	66,554	66,554	66,554	66,554	9,916	56,113	56,113	56,113	56,113		
19	Retirement benefit asset	-	-	-	-	-	-	-	-	-		
20	Other assets	5,022,072	8,930,483	6,034,274	9,052,219	8,697,585	4,726,923	8,737,356	5,344,600	8,768,454		
21	TOTAL ASSETS	270,676,929	266,672,685	247,319,159	231,215,359	228,785,387	266,799,109	263,501,814	228,874,484	227,451,556		
B												
LIABILITIES												
22	Balances due to Central Bank Of Kenya	-	-	-	-	-	-	-	-	-		
23	Customer deposits	200,439,305	199,243,875	187,165,735	175,425,121	180,336,988	198,550,754	198,114,365	174,776,225	180,336,988		
24	Deposits and balances due to local banking institutions	6,129,016	4,089,298	4,448,278	5,462,337	1,433,146	6,129,016	4,089,298	4,448,278	5,462,337		
25	Deposits and balances due to banking institutions abroad	70,513	41,195	-	122,704	122,704	70,513	41,195	-	122,704		
26	Other money market deposits	-	-	-	-	-	-	-	-	-		
27	Borrowed funds	18,398,310	13,577,791	12,748,453	10,252,392	7,667,446	18,398,310	13,577,791	10,252,392	7,667,446		
28	Balances due to banking institutions in the group	-	-	-	-	-	-	-	-	-		
29	Tax payable	343,763	420,253	897,999	412,389	412,389	330,005	413,346	887,802	408,985		
30	Dividends payable	-	-	-	-	-	-	-	-	-		
31	Deferred tax liability	-	-	-	-	-	-	-	-	-		
32	Retirement benefit liability	-	-	-	-	-	-	-	-	-		
33	Other liabilities	3,350,860	8,840,726	1,475,791	2,937,252	3,725,106	2,686,036	8,402,383	1,200,260	2,711,485		
34	TOTAL LIABILITIES	228,631,765	226,213,148	206,736,256	194,077,101	193,873,493	226,164,634	224,638,177	205,189,629	193,222,439		
C												
SHAREHOLDERS' FUNDS												
35	Paid up/Assigned capital	4,889,317	4,190,844	4,190,844	4,190,844	4,190,844	4,889,317	4,190,844	4,190,844	4,190,844		
36	Share premium/(discount)	2,889,789	3,588,262	3,588,262	3,588,262	3,588,262	2,889,789	3,588,262	3,588,262	3,588,262		
37	Revaluation reserve	407,035	407,035	407,035	407,035	407,035	407,035	407,035	407,035	407,035		
38	Retained earnings/ Accumulated losses	33,006,980	31,413,544	29,003,382	26,409,433	26,409,433	31,803,154	30,103,988	25,354,077	25,354,077		
39	Statutory Loan Loss Reserve	717,844	717,844	717,844	717,844	717,844	717,844	717,844	717,844	717,844		
40	Other Reserves	(612,975)	(689,166)	(689,166)	(612,975)	(612,975)	(689,166)	(612,975)	(612,975)	(612,975)		
41	Proposed dividends	-	-	-	-	-	-	-	-	-		
42	Capital grants	540,411	545,030	545,030	545,030	545,030	540,411	545,030	545,030	545,030		
43	TOTAL SHAREHOLDERS' FUNDS	41,839,301	40,173,393	40,229,172	36,773,649	34,778,610	40,634,476	38,863,637	38,863,637	35,652,045		
43.1	Non-Controlling Interest	205,862	286,145	353,732	364,608	133,284	-	-	-	-		
44	TOTAL LIABILITIES & SHAREHOLDERS' FUNDS	270,676,929	266,672,685	247,319,160	231,215,359	228,785,387	266,799,109	263,501,814	228,874,484	227,451,556		

II	STATEMENT OF COMPREHENSIVE INCOME	GROUP					BANK				
		30-Sep-14	30-Jun-14	31-Mar-14	31-Dec-13	30-Sep-13	30-Jun-14	31-Mar-14	31-Dec-13	30-Sep-13	
		KSHS '000	KSHS '000	KSHS '000	KSHS '000	KSHS '000	KSHS '000	KSHS '000	KSHS '000	KSHS '000	
		(Un-audited)	(Un-audited)	(Un-audited)	Audited	(Un-audited)	(Un-audited)	(Un-audited)	Audited	(Un-audited)	
1.0	INTEREST INCOME										
1.1	Loans and advances	17,021,509	11,188,210	5,477,944	20,045,346	15,814,593	11,177,532	5,475,008	20,044,538	15,814,593	
1.2	Government securities	3,589,880	2,294,774	1,092,487	4,126,061	2,993,663	3,563,629	1,085,084	4,107,495	2,979,052	
1.3	Deposits and placements with banking Institutions	243,720	168,061	79,201	370,318	355,485	240,172	168,061	358,889	355,485	
1.4	Other Interest Income	-	-	-	-	-	-	-	-	-	
1.5	Total Interest Income	20,855,110	13,651,045	6,649,632	24,541,725	19,163,741	20,803,032	6,639,793	24,510,922	19,149,129	
2.0	INTEREST EXPENSE										
2.1	Customer deposits	4,952,304	3,212,541	1,594,528	5,103,060	4,003,239	4,952,722	3,212,437	5,103,054	4,003,239	
2.2	Deposits and placements from banking institutions	184,585	40,071	15,300	146,220	81,798	184,368	40,071	146,220	81,798	
2.3	Other Interest Expenses	681,208	468,236	221,456	666,535	494,376	681,308	468,236	666,535	494,376	
2.4	Total Interest Expenses	5,818,097	3,720,848	1,831,284	5,915,815	4,579,413	5,817,848	3,720,744	5,915,809	4,579,413	
3	NET INTEREST INCOME/(LOSS)	15,037,013	9,930,198	4,818,348	18,625,910	14,584,328	14,985,184	9,901,664	18,595,113	14,569,717	
4	NON- OPERATING INCOME										
4.1	Fees and commissions on loans and advances	1,611,968	1,028,917	494,650	1,935,527	1,338,757	1,611,968	1,028,917	1,935,527	1,338,757	
4.2	Other Fees and commissions	5,203,840	3,869,909	1,441,624	5,225,451	3,738,903	4,731,693	3,548,036	4,894,638	3,655,307	
4.3	Foreign exchange trading income/(loss)	1,086,656	921,168	447,614	1,471,977	957,300	902,774	760,784	1,443,649	957,300	
4.4	Dividend income	54,055	54,089	-	53,551	52,128	54,089	54,089	54,089	52,128	
4.5	Other income	491,287	364,331	276,152	577,886	738,477	491,287	364,152	209,686	625,615	
4.6	Total Non-interest income	8,447,807	6,238,414	2,660,939	9,263,893	6,825,566	7,789,866	5,756,276	2,377,888	8,952,980	
5.0	TOTAL OPERATING INCOME	23,484,820	16,168,612	7,479,287	27,889,803	21,409,894	22,775,050	15,657,940	7,185,905	21,158,650	
6.0	OTHER OPERATING EXPENSES										
6.1	Loan loss provision	748,211	400,036	150,561	778,157	800,000	745,036	400,036	150,561	773,291	
6.2	Staff costs	6,197,593	4,037,123	1,893,893	8,013,780	5,443,312	5,913,963	3,868,978	7,799,913	5,373,462	
6.3	Directors' emoluments	110,012	38,470	18,844	131,734	74,035	80,101	23,770	110,274	63,146	
6.4	Rentals charges	943,363	646,250	308,310	1,123,891	827,500	818,177	566,966	772,384	821,820	
6.5	Depreciation charge on property and equipment	1,487,860	983,637	494,888	1,528,361	1,086,280	1,379,847	915,215	1,062,895	1,082,834	
6.6	Amortisation charges	221,697	144,645	72,113	178,812	101,701	221,697	144,645	176,176	101,439	
6.7	Other operating expenses	4,718,782	3,190,792	1,221,289	5,627,393	4,332,435	4,404,690	2,952,927	5,380,400	4,258,838	
6.8	Total other operating expenses	14,427,519	9,440,957	4,159,898	17,382,727	12,665,264	13,563,511	8,872,638	3,894,235	12,501,539	
7	Profit/(Loss) before tax and exceptional items	9,057,402	6,727,655	3,318,488	10,507,075	8,744,629	9,211,539	6,785,302	3,291,610	10,705,457	
8	Exceptional items-Share of profit of associate	74,578	27,513	149,229	365,368	166,964	-	-	-	-	
9	Profit/(Loss) before tax	9,131,880	6,755,168	3,468,418	10,872,444	8,911,593	9,211,539	6,785,302	3,291,610	10,705,457	
10	Current tax	2,818,956	2,039,836	1,002,844	1,996,713	1,971,156	2,763,462	2,035,591	987,443	1,958,092	
11	Deferred tax	-	-	-	(232,454)	-	-	-	-	(231,826)	
12	Profit/(loss) after tax and exceptional items	6,312,924	4,715,331	2,465,574	9,108,185	6,940,437	6,448,077	4,749,711	2,304,127	8,979,191	
13.0	OTHER COMPREHENSIVE INCOME:										
13.1	Gains/(Losses) from translating the financial statements of foreign operations	-	-	-	1,060	-	-	-	-	-	
13.2	Fair value changes in available-for-sale financial assets	631,282	566,541	932,440	(178,378)	163,202	643,632	566,541	932,440	163,202	
13.3	Revaluation Surplus on property, Plant and Equipment	-	-	-	-	-	-	-	-	-	
13.4	Share of other comprehensive income of associates	-	-	-	20,713	-	-	-	-	-	
13.5	Income tax relating to components of other comprehensive income	-	-	-	-	-	-	-	-	-	
14	OTHER COMPREHENSIVE INCOME NET OF TAX	631,282	566,541	932,440	(156,605)	163,202	643,632	566,541	932,440	163,202	
15	TOTAL COMPREHENSIVE INCOME	6,944,206	5,281,872	3,398,014	8,951,580	7,103,638	7,091,709	5,316,252	3,236,567	6,870,600	
	Basic Earnings per share	1.29	1.13	0.59	2.17	1.66	1.32	1.13	0.55	1.60	
	Diluted Earnings per share	1.29	0.96	0.50	1.86	-	1.32	0.97	1.84	-	
	Dividend per share	-	-	-	0.50	-	-	-	0.50	-	

III	OTHER DISCLOSURES									
	GROUP					BANK				
	30-Sep-14	30-Jun-14	31-Mar-14	31-Dec-13	30-Sep-14	30-Jun-14	31-Mar-14	31-Dec-13	30-Sep-13	
	KSHS '000	KSHS '000	KSHS '000	KSHS '000	KSHS '000	KSHS '000	KSHS '000	KSHS '000	KSHS '000	
	(Un-audited)	(Un-audited)	(Un-audited)	Audited	(Un-audited)	(Un-audited)	(Un-audited)	Audited	(Un-audited)	
1										
a)	7,875,180	6,920,126	6,847,035	6,103,463	7,875,180	6,920,126	6,847,035	6,103,463	6,267,639	
b)	331,914	492,976	595,570	676,978	331,914	492,976	595,570	676,978	752,884	
c)	7,543,266	6,427,150	6,251,465	5,426,485	7,543,266	6,427,150	6,251,465	5,426,485	5,514,755	
d)	2,353,474	2,185,765	2,310,457	2,366,972	2,353,474	2,185,765	2,310,457	2,366,972	2,838,009	
e)	5,189,792	4,241,385	3,941,008	3,059,513	5,189,792	4,241,385	3,941,008	3,059,513	2,676,746	
f)	4,756,969	4,241,385	3,941,008	3,059,513	4,756,969	4,241,385	3,941,008	3,059,513	2,676,746	
g)	432,823	-	-	-	432,823	-	-	-	-	
2										
a)	219,149	210,276	159,246	158,416	219,149	210,276	159,246	158,416	157,232	
b)	6,863,519	6,630,136	6,520,265	6,395,246	6,863,519	6,630,136	6,520,265	6,395,246	6,185,349	
c)	7,082,668	6,840,412	6,679,511	6,463,662	7,082,668	6,840,412	6,679,511	6,463,662	6,342,581	
3										
a)	15,121,579	13,931,353	15,396,754	16,971,431	15,121,579	13,931,353	15,396,754	16,971,431	12,993,916	
b)	5,929,852	1,922,005	3,884,100	3,865,180	5,929,852	1,922,005	3,884,100	3,865,180	4,756,216	
c)	-	-	-	-	-	-	-	-	-	
d)	21,051,431	15,853,358	19,280,854	20,836,611	21,051,431	15,853,358	19,280,854	20,836,611	17,750,133	
Capital strength										
a)										
b)										
c)										
d)										
e)										
f)										
g)										
h)										
i)										
j)										
k)										
l)										
m)										
n)										
o)										
Liquidity										
a)										
b)										
c)										

These financial statements are extracts from the books of the institution.

Signed: **S C Muchiri, EBS**
Group Chairman

Signed: **Dr. G. Muriuki, MBS**
Group Managing Director & CEO

THE CO-OPERATIVE BANK OF KENYA LIMITED AND SUBSIDIARIES
CONSOLIDATED STATEMENT OF CHANGES IN EQUITY
FOR THE PERIOD ENDED 30 SEPTEMBER 2014

	Share capital KShs'000	Share premium KShs'000	Revaluation reserve KShs'000	Statutory reserve KShs'000	Fair value reserve KShs'000	Foreign currency translation reserve KShs'000	Proposed dividends KShs'000	Retained earnings KShs'000	Attributable to equity holder of the parent KShs'000	Non- controlling interest KShs'000	Total equity KShs'000
Balance at 1 January 2014	4,190,844	3,588,262	429,704	718,026	(1,243,221)	1,060	2,095,422	26,439,284	36,219,381	364,609	36,583,990
Total comprehensive income	-	-	-	-	-	-	-	-	-	-	-
Profit for the year	-	-	(20,401)	-	631,146	(1,060)	-	6,312,924	6,312,924	(158,747)	6,154,177
Other comprehensive income	-	-	-	-	-	-	-	-	609,685	-	609,685
Bonus share issue	698,473	(698,473)	-	-	-	-	-	-	-	-	-
Realisation of revaluation surplus	-	-	(2,268)	-	-	-	-	2,268	-	-	-
Net movement in revenue grants	-	-	-	-	-	-	-	252,323	252,323	-	252,323
2013-Dividends paid	-	-	-	-	-	-	(2,095,422)	-	(2,095,422)	-	(2,095,422)
Transfers to (from) statutory reserve	-	-	-	(182)	-	-	-	182	-	-	-
Balance at 30 September 2014	4,889,317	2,889,789	407,035	717,844	(612,075)	-	-	33,006,980	41,298,890	205,862	41,504,752

CO-OPERATIVE BANK OF KENYA LIMITED
CONSOLIDATED STATEMENT OF CASHFLOWS
FOR THE PERIOD ENDING 30TH SEPTEMBER 2014

	KShs'000 30.09.2014	KShs'000 31.12.2013
a. CASH FLOWS FROM OPERATING ACTIVITIES		
Cash generated from / (used in) operations	(17,850,705)	11,963,085
Taxation Paid	2,433,457	(2,679,178)
Net cash generated from / (used in) operating activities	(15,417,249)	9,283,907
b. CASH FLOWS FROM INVESTING ACTIVITIES		
Purchase of property and equipment	-	(3,682,201)
Purchase of intangible assets	(1,696,738)	(664,028)
Purchase of other investments	8,127,312	(10,602,734)
Proceeds from disposal of property and equipment	880,209	12,150
Net cash used in investing activities	7,310,783	(14,936,813)
c. CASH FLOWS FROM FINANCING ACTIVITIES		
Dividends paid	-	(2,095,422)
Loans received	8,161,427	697,981
Loans repaid	(15,509)	(212,079)
Net cash used in financing activities	8,145,918	(1,609,520)
INCREASE / (DECREASE) IN CASH AND CASH EQUIVALENTS	39,452	(1,508,689)
CASH AND CASH EQUIVALENTS AS AT 1ST JANUARY	22,018,779	23,607,621
Foreign Exchange Gain	(862,444)	(80,153)
CASH AND CASH EQUIVALENTS	21,195,787	22,018,779